

ALLIANCE KCSE 2025 PREDICTION



POSSIBLE KCSE EXAM



BUSINESS STUDIES

565/1

PAPER 1

TIME: 2 HOURS

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

Kenya Certificate of Secondary Education.

INSTRUCTIONS

- a) Write your name and admission number in the spaces provided above.*
- b) Sign and write the date of examination in the spaces provided above.*
- c) Answer all the questions.*
- d) All answers should be written in the spaces provided in this booklet.*
- e) Candidates should answer all the questions in English.*

For Examiner's Use Only

Question	1	2	3	4	5	6	7	8	9	10	11	12	13
Marks													

Question	14	15	16	17	18	19	20	21	22	23	24	25
marks												

Total marks

For Marking Schemes Contact 0746 222 000 / 0742 999 000

1. Identify the rewards of the following factors of production. (4Marks)

Factor	Reward
(a) Limestone	
(b) Teacher	
(c) Exchange of goods	
(d) Landlords	

2. Outline **four** circumstances under which a firm would be located near the market for its product. (4 Marks)

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3. State **four** unethical practices that traders should avoid in product promotion. (4Marks)

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4. Nundu and Thuku bought a building for Kshs 12,000,000. The building was insured for 8,000,000 against the risk of fire. Later the building was partially destroyed by fire to a tune of Kshs 6,000,000.

(a) State the amount of compensation likely to be paid by the insurance company. (3Marks)

(b) Give a reason for your answer. (1Mark)

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5. Outline **three** reasons why a seller may prefer cash with order (C.W.O) Policy in his operation. (3Marks)

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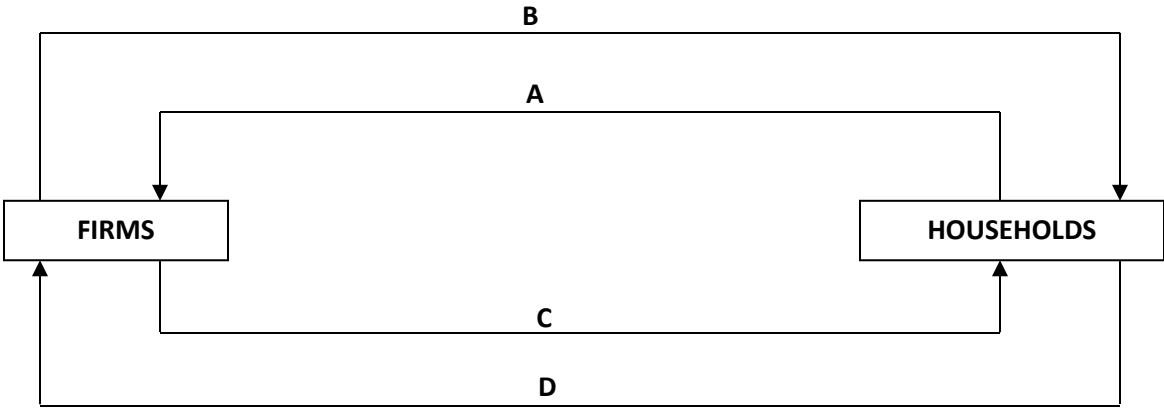
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6. Study the diagram below and answer questions that follow.



(i) What does this diagram represent? (1Mark)

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(iii) Identify what letters A,B,C and D represent.

- A..... (1Mark)
- B..... (1Mark)
- C..... (1Mark)
- D..... (1Mrk)

7. The final capital for Mundu’s business for the year ended 30th June 2022 was Kshs90, 000. During the trading period he made a loss of Kshs5000 and the additional investment of Kshs46, 000 and drawings of Kshs5, 100. Calculate the initial capital. (4Marks)

8. The per capita income in a country X was £350 in January 2020. At the end of the year the per capita income had increased to £420. State **four** reasons why the standards of living of the people in the country X may not have risen during the year. (4Marks)

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9. Highlight **four** reasons why motorbikes have replaced bicycles as the choice for transport.(4mks

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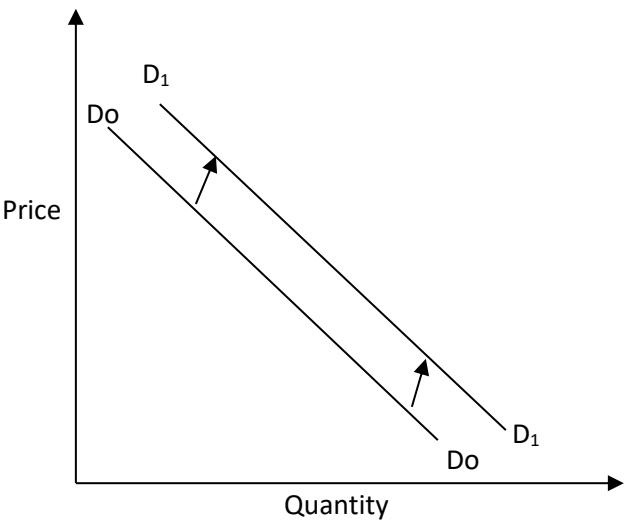
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10. The diagram below shows a demand curve D_0 and D_1 . Highlight **four** factors to account for the above shift. (4Marks)



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11. A business opportunity exists where there is a gap to be filled in the market. State **four** situations that may create a gap. (4Marks)

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12. State **four** factors that may limit an individual’s ability to satisfy his basic human wants.(4mks)

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13. The following details relate to Kango Traders as at 31. 12. 22

Shs.

Sales	300,000
Stock (1/1/23)	45,000
Stock (31/12/23)	35,000
General expenses	25,000
Capital	400,000
Margin	25%

Calculate;
(a) Purchases (2Marks)

(b) Net profit (1Mark)

(c) Rate of turnover (1Mark)

(d) Rate of return on capital (1Mark)

14. State three reasons why people hold money. (3Marks)

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15.Name four features that distinguish economic growth from economic development.(4Marks)

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16. Outline **four** circumstances under which partnership may be dissolved. (4Marks)

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17. As a banker to the government state **four** services that the central Bank renders to the government. (4Marks)

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18. The following transaction relate to Mawo traders. Indicate the accounts to be debited and credited (4Marks)

Transactions	Account to be debited	Account to be credited
(a) Withdraw cash from the bank for office use.		
(b) Bought goods on credit		
(c) Took shs 500,000 from the cash till to pay his son’s dowry		
(d) Converted his lorry into business motor vehicle.		

19.Highlight **four** circumstances under which a manufacturer would not require substantial warehousing. (4Marks)

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20. State four uses of an invoice to a seller of goods. (4 Marks)

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21. Outline four errors which do not affect the agreement of a trial balance. (4 Marks)

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22. Match the accounts below with the appropriate types of ledger where they are kept. (4 Marks)

- (a) Returns inwards
(b) Drawings
(c) Bank
(d) Discount received

23. Enter the following transactions in the two-column cash book of Katundu traders given below. (4Marks)

2021

- Feb 10 - Paid a creditor Shs.7, 500 by cheque
20 - Received Shs.5, 000 in cash from Muthiani a debtor
25 - Deposited Shs.12, 500 into a bank
28 - Paid wages Shs.2, 400 in cash

24. Mula and Museba have each taken life assurance cover. State **four** reasons why Mula is to pay higher premiums than Museba. (4 Marks)

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25. State **four** limitations of using mobile phone in communication. (4Marks)

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